

Industry ↴

908 Airlines

908 Airlines

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

908-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	908-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	908-10-05-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

908-10-05-1	The Airlines Topic includes the following Subtopics relating specifically to entities in the airline industry:			
	a.	Overall		
	b.	Segment Reporting		
	c.	Inventory		

- d. Intangibles—Takeoff and Landing Slots
- e. Property, Plant, and Equipment
- f. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- g. Compensation—General
- h. Other Expenses
- i. Nonmonetary Transactions.

Each Subtopic provides background on the guidance provided.

- 908-10-05-2** Entities in the airline industry primarily provide carrier services for passengers and cargo, frequently as joint operations. Other services, such as maintenance or food service for other carriers, may also be provided.
- 908-10-05-3** The most unusual characteristic of the airline industry is its revenue cycle. Sales may be made at numerous locations by either the carrier or third parties (travel agents or other carriers); for some carriers, third parties handle a substantial portion of the ticket transactions. [Paper tickets](#) and [electronic tickets](#) usually are sold in advance of the transportation date, and the ticket sales date usually does not coincide with the revenue recognition date (the date that service is provided). Tickets sold are not necessarily used, in whole or in part, on the carrier making the sale, and some tickets are refundable if not used by the customer for up to one year after the sales date. Other tickets are nonrefundable but exchangeable with payment of a fee, and other tickets are nonrefundable and nonexchangeable. The determination of revenue recognized may be complex.
- 908-10-05-4** [Paragraph not used.](#)
- 908-10-05-5** A major portion of an airline's fixed assets comprises aircraft and other flight equipment. Because such assets are constantly changing locations, the responsibility for physical custody and control of aircraft is substantially different from that of nonmobile fixed assets.
- 908-10-05-6** Maintenance requirements are dictated by the highly sophisticated nature of the industry's equipment. The timing and extent of maintenance procedures are determined by individual carriers using studies based on actual experience that demonstrate [airworthiness](#) to the Federal Aviation Administration. Maintenance may be provided in-house, which requires maintenance facilities outfitted with specifically designed equipment.
- 908-10-05-7** Compensation of flight personnel usually represents a significant portion of an airline's operating expenses. The amount of compensation is generally dependent on a number of variables, including, among others, flying status, type of equipment flown, hours flown, whether flights are made during the day or at night, and employee seniority.

15 Scope and Scope Exceptions

 **General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

- i General Note for Financial Instruments:** Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

- 908-10-15-1** The Subtopics within the Airlines Topic only provide incremental industry-specific guidance for the entities defined in the Scope Sections of the individual Subtopics. Entities within the scope of this Topic shall also comply with the applicable standards not included in this Topic.

> Entities

- 908-10-15-2** This Topic provides guidance for all entities in the airline industry. See Section [908-10-05](#) for a description of such entities and their operations.

20 Glossary

- i General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Airworthiness](#)

The ability of a particular aircraft or component part to perform its function satisfactorily through a range of operations determined by the Federal Aviation Administration.

[Coupon](#)

The term coupon is often used to collectively refer to lifted flight coupons and other electronic evidence of boarding, in which case, it is applicable to both paper tickets and electronic tickets.

Electronic Ticket

An electronic (or e-ticket) reflects the passenger's itinerary in electronic form. Like paper tickets, e-tickets contain information for each flight segment of a passenger's itinerary. However, while a paper ticket consists of multiple [coupons](#) that are used to record a sale and to document the service rendered, e-tickets exist only as a digital record in the airline computer system and contain no paper coupons. Instead, the airline's host reservation system or global distribution system (GDS) produces an e-ticket sales record for each sale transaction, which is used to record a sale of e-ticket. Boarding documents are issued for e-tickets at check-in, and the carrier documents transportation service at the boarding point by either collecting boarding documents or scanning them as evidence of the service rendered.

Paper Ticket

A printed document that serves as evidence of payment of the fare for air transportation. It authorizes carriage between the points and via the routing indicated and also shows the passenger's name, class of service, carrier(s), flight number(s), dates of travel, and all conditions of the contract of carriage. Generally, this takes the form of the standard Air Traffic Conference ticket, which is composed of an auditor's [coupon](#), agent's coupon, flight coupon(s), and passenger's coupon. The auditor's coupon is the initial document used to record a sale. Flight coupons represent each flight segment (leg) of the passenger's itinerary. Flight coupons are lifted (detached from the ticket booklet) by the carrier providing the transportation service at the boarding point as evidence of the service rendered, although today this process is entirely electronic for the vast majority of ticket sales and boarding transactions.

908 Airlines 280 Segment Reporting

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

908-280-05-1 [Section not used.](#)

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

908-280-15-1 [Section not used.](#)

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

908-280-45-1 [Section not used.](#)

908 Airlines 330 Inventory

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

908-330-05-1 This Subtopic provides guidance for inventory accounting for entities in the airline industry.

908-330-05-2 The inventories in an airline operation (that is, carrier services for passengers and/or cargo) are for internal consumption and not for sale; they therefore differ substantially from the classical definition (see Topic 330). Inventories in an airline operation comprise primarily expendable (spare) parts and materials and supplies used in the airline's operation.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

908-330-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see [Section 908-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a

particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Expendable Parts

Parts that are ordinarily used up (consumed) and replaced with new parts, as opposed to those parts that are capable of being used over and over after being refurbished (rotatable flight equipment).

Rotable Parts

Rotable parts are normally repaired and reused, as opposed to those parts that are consumed in the operations (expendable parts).

Spare Parts

Parts, appurtenances, and accessories of aircraft (other than aircraft engines and propellers), of aircraft engines (other than propellers), of propellers, or of appliances that are maintained for installation or use in an aircraft, aircraft engine, propeller, or appliance but that are not yet installed or attached.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

908-330-25-1 [Expendable parts](#) shall be recorded at cost in a current asset account for [spare parts](#) and supplies, which is similar in nature to a prepaid expense. Reusable spare parts and supplies recovered in connection with construction, maintenance, or retirement of property and equipment shall be included with expendable parts at the average cost of comparable items. This valuation is typically based on the condition of the part or group of parts and their continuing utility. Materials and supplies held in small quantities and purchased as needed shall be charged to expense when they are purchased.

908-330-25-2 See Section [908-330-30](#) for a summary of the recognition and initial measurement standards for airline inventories.

30 Initial Measurement

- i General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

908-330-30-1 Inventories are valued at cost.

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

908-330-35-1 Inventories shall include an allowance for obsolescence that corresponds to the lives of the related fleets.

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

908-330-40-1 [Expendable parts](#) recorded in a current asset account for [spare parts](#) and supplies shall be charged to expense as they are used.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

908-330-45-1 Expendable parts are classified as current assets (see paragraph 908-360-45-1 concerning rotatable parts and assemblies of significant value).

908 Airlines

350 Intangibles—Takeoff and Landing Slots

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

908-350-05-1 This Subtopic provides accounting guidance for take-off and landing slots for entities in the airline industry.

908-350-05-2 New entrants to a market and airlines expanding in markets need gates and take-off and landing slots available to them at the airports in those markets. At certain airports, the frequency of take-offs and landings at all times is generally at capacity. At other airports, the slots during popular travel times are at capacity. Because an airline cannot enter a market where no slots are available, the Department of Transportation has adopted a rule under which airlines may sell or trade slots. These transactions

frequently include the sale of or access to gates for the acquiring airlines. Although slots, particularly those in high-demand time periods, have always had intrinsic value, the Department of Transportation policy of transferability through sale or exchange has made the slot a salable right.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

908-350-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [908-10-15](#).

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Take-off and Landing Slots

908-350-25-1 When airlines buy take-off and landing slots, the recorded asset is an intangible asset that shall be accounted for in conformity with Topic [350](#). See also Example 6 (paragraph [350-30-55-17](#)) for guidance with respect to the acquisition of an international airline route authority.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Take-Off and Landing Slots

908-350-35-1 When determining a useful life of take-off and landing slots, the following factors shall be considered, in addition to the factors indicated in Topic 350:

- a. The accelerated pace of change in the airline industry and the effects of competition among airports
- b. The uncertainty of the continuation of the current governmental policy regarding sale of and access to landing slots
- c. The terms of existing facility leases at airports
- d. The probability of new airport construction to serve the same metropolitan area
- e. The traffic patterns and trends and local operating restrictions.

908-350-35-2 When an airline exchanges slots with another airline, the slots acquired in the exchange are nonmonetary assets that shall be recorded in conformity with Topic 845 and accounted for in accordance with Topic 350.

908 Airlines

360 Property, Plant, and Equipment

00 Status

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General

908-360-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Cash Consideration	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	908-360-55-1	Amended	Accounting Standards Update No. 2016-02	02/25/2016
	908-360-55-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 908-360-05-1** This Subtopic provides guidance for accounting for certain property, plant, and equipment assets for entities in the airline industry. It includes guidance on:
- a. The use of unit and group depreciation methods.
 - b. Rotable parts. [Rotable parts](#) relate to flight equipment.
 - c. [Airframe](#) modifications. Airlines have undertaken major programs to modify interior configurations of certain aircraft types—including the reconfiguration and replacement of seats, galley equipment, and storage space—in response to market forces and passenger demands. Since deregulation, such changes have been more frequent.
 - d. Airframe and engine overhauls. As a result of overhaul requirements established by the Federal Aviation Administration, aircraft airframes and engines must be overhauled within specific intervals. The value and usefulness of an aircraft can be heavily dependent on its stage of overhaul. For accounting purposes, airframe and aircraft engine overhauls encompass all inspections or replacements of major components, which the civil air regulations require at specific maximum periodic intervals to recertify that the frame or engine is completely airworthy.

> Purchase Incentives

- 908-360-05-2** Airlines frequently negotiate purchase incentives with aircraft manufacturers whereby, as an inducement to purchase a particular manufacturer's aircraft, the manufacturer will issue credits, which can be used for the purchase of [spare parts](#) but may not be applied as part of the purchase price of aircraft. Examples of other incentives are guaranteed trade-in values and purchase credits for flight crew training equipment (for example, flight simulators).

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

908-360-15-1 This Subtopic provides guidance relating to certain property, plant, and equipment assets for entities in the airline industry.

> Transactions

908-360-15-2 The guidance in this Subtopic does not apply to the following transactions and activities:

- a. The cost of routine replacement of minor parts and servicing or inspection of airframes and aircraft engines
- b. Costs accounted for as restoration of assets, such as extraordinary costs associated with the renewal of major structural parts beyond the scope of normal periodic overhauls
- c. Other costs with a life span similar to the depreciable service life of the related [airframe](#) or aircraft engine.

20 Glossary

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Air Carrier

Any entity that undertakes, whether directly or indirectly or by a lease or any other arrangement, to engage in air transportation.

Airframe

The structure of an aircraft, excluding engines and accessories. The principal parts of the airframe of an airplane include the fuselage (the body), wings, empennage (the assembly of stabilizing and control surfaces at the tail), landing gear, and nacelles or pods (engine housings).

Airframe Modifications

Modifications made to interior configurations of certain aircraft types—including the reconfiguration and replacement of seats, galley equipment, and storage space.

Rotable Parts

Rotable parts are normally repaired and reused, as opposed to those parts that are consumed in the operations (expendable parts).

Spare Parts

Parts, appurtenances, and accessories of aircraft (other than aircraft engines and propellers), of aircraft engines (other than propellers), of propellers, or of appliances that are maintained for installation or use in an aircraft, aircraft engine, propeller, or appliance but that are not yet installed or attached.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Airframe Modifications

908-360-25-1 If the modifications of interior configurations of certain aircraft types enhance the usefulness of the aircraft, the costs associated with the changes shall be capitalized.

> Overhaul Costs

908-360-25-2 Air carriers shall adopt an accounting method that recognizes overhaul expenses in the appropriate period. This may result in different methods for different aircraft, as well as different methods for [airframe](#) overhauls and engine overhauls. The method chosen shall recognize, among other things, the carrier's operating practices with respect to airframe and engine overhauls. The following accounting methods are permitted:

- a. The direct expensing method, addressed in Subtopic [908-720](#) (see paragraph [908-720-25-3](#))
- b. The built-in overhaul method, addressed in this Subtopic
- c. The deferral method, addressed in this Subtopic.

As indicated in paragraph [360-10-25-5](#), the use of the accrue-in-advance (accrual) method of accounting for planned major maintenance activities is prohibited in annual and interim financial reporting periods.

908-360-25-3 [Paragraph not used.](#)

908-360-25-4 [Paragraph not used.](#)

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Overhaul Costs

908-360-30-1 This guidance addresses the following methods of accounting for overhaul expenses:

- a. Built-in overhaul method
- b. Deferral method.

The direct expensing method is addressed in Subtopic [908-720](#) (see paragraph [908-720-25-3](#)).

· > Built-In Overhaul Method

908-360-30-2 The built-in overhaul method is based on segregation of the aggregate aircraft costs into those components that shall be depreciated over the useful life of the aircraft and those that require overhaul at periodic intervals. Thus, the estimated cost of the overhaul component included in the purchase price shall be set up separately from the cost of the [airframe](#) and engines.

· > Deferral Method

908-360-30-3 Under the deferral method, the actual cost of each overhaul shall be capitalized.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Depreciation Methods

- 908-360-35-1** A depreciation method may be applied to a single asset (unit depreciation) or to a group or pool of assets that are similar in nature (group depreciation). An [air carrier](#) can use unit or group depreciation methods on different groups of assets. The ease of application is the basis of selection between the two methods.
- Unit method. Under the unit method, the airline depreciates the cost of the individual items of property and equipment. Unit depreciation is generally used for fixed assets, such as aircraft and engines, that have large unit costs and are comparatively few in number.
 - Group method. Under the group method, the airline depreciates the aggregate cost of a group of equipment that is fairly homogeneous, despite differences in the service lives of individual items. Group depreciation usually is applied to groups of assets that are significant in number but have relatively small unit values, such as [rotable parts](#) and assemblies.

> Rotable Parts

- 908-360-35-2** Rotable parts and assemblies are normally depreciated over their useful lives or service lives according to a group method of depreciation.

> Airframe Modifications

- 908-360-35-3** [Airframe modifications](#) shall be depreciated over the estimated useful life of the aircraft or the modifications, whichever is less.

> Overhaul Costs

- 908-360-35-4** This guidance addresses the following methods of accounting for overhaul expenses:
- Built-in overhaul method
 - Deferral method.
- The direct expensing method is addressed in Subtopic [908-720](#) (see paragraph [908-720-25-3](#)).

· > Built-In Overhaul Method

- 908-360-35-5** The estimated cost of the overhaul component included in the aircraft purchase price shall be amortized to the date of the initial overhaul. The cost of the initial overhaul shall then be capitalized

and amortized to the next overhaul, at which time the process shall be repeated.

· > Deferral Method

908-360-35-6 Under the deferral method, the actual cost of each overhaul shall be amortized to the next overhaul.

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Airframe Modifications

908-360-40-1 The cost of the replaced asset net of accumulated depreciation and anticipated recovery value shall be charged to income in the current period. However, detailed records may often be inadequate to permit identification of the cost of the replaced asset; therefore, estimates may be required.

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Rotable Parts

908-360-45-1 [Rotable parts](#) and assemblies of significant value are classified along with flight equipment as fixed assets.

> Overhaul Costs and Planned Major Maintenance Activities

908-360-45-2 As indicated in paragraph [360-10-45-1](#), an entity shall apply the same method of accounting for planned major maintenance activities in annual and interim financial reporting periods.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

· > Purchase Incentives

908-360-55-1 Credit received as a purchase incentive from an aircraft manufacturer to induce a purchase of that manufacturer's aircraft should be accounted for in accordance with paragraphs [705-20-25-1 through 25-5](#) for the aircraft or, if the aircraft is leased, as a lease incentive in accordance with Topic [842](#).

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605 Revenue Recognition

00 Status

i General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related

Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

908-605-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Air Cargo	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Airbill	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Fare	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Lifted Flight Coupon	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	On-Line Lifts	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	On-Line Sale and Off-Line Sale	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	Revenue Passenger Mile	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	908-605-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	908-605-05-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	908-605-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	908-605-25-1 through 25-10	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

908-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

908-605-05-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

908-605-15-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

- 908-605-25-1** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 908-605-25-2** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 908-605-25-3** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 908-605-25-4** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 908-605-25-5** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 908-605-25-6** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 908-605-25-7** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 908-605-25-8** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 908-605-25-9** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 908-605-25-10** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

908 Airlines

710 Compensation—General

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

908-710-05-1 [Section not used.](#)

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

908-710-15-1 [Section not used.](#)

25 Recognition

- i General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

908-710-25-1 [Section not used.](#)

30 Initial Measurement

General Note:The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

908-710-30-1 [Section not used.](#)

908 Airlines 720 Other Expenses

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

908-720-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
908-720-25-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may

contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 908-720-05-1** This Subtopic provides accounting guidance for the following costs for entities in the airline industry:
- [Developmental costs](#), including those directly related to the development of new routes
 - [Preoperating costs](#), including initial preparation costs for a new route or new type of aircraft
 - Overhaul costs using the direct expensing method.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 908-720-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [908-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Developmental Costs

Developmental costs include those types of costs directly related to the development of new routes (or extension of existing routes), such as advertising and promotion expenses, related travel and incidental expenses, and expenses of regulatory proceedings.

Preoperating Costs

Preoperating costs include flight crew training, maintenance training, prerevenue flight expenses, insurance, and depreciation. Preoperating costs relate directly to specific preoperating projects, such as the preparation for operation of new routes or integration of new types of aircraft.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Developmental Costs

908-720-25-1 Because of the current deregulated environment and the uncertainty regarding the recoverability of route [developmental costs](#), such costs related to the preparation of operations of new routes shall not be capitalized. Route expansion or alteration has become a recurring activity among the airlines, and any related cost shall be considered a normal and recurring cost of conducting business.

> Preoperating Costs

908-720-25-2 [Preoperating costs](#) shall be expensed as incurred rather than capitalized.

> Overhaul Costs—Direct Expensing Method

908-720-25-3 Paragraph [908-360-25-2](#) provides guidance on accounting methods for overhaul expenses. Most carriers recognize the cost of overhauls as expenses as they are incurred because, in the case of carriers with large fleets, such costs are relatively constant from period to period.

> Rotables

908-720-25-4 The cost of repairing rotables shall be charged to expense as it is incurred. See also guidance in paragraphs [908-360-35-2](#) and [908-360-45-1](#) concerning rotables.

908 Airlines

845 Nonmonetary Transactions

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

908-845-05-1 This Subtopic provides accounting guidance for the exchange of take-off and landing slots for entities in the airline industry.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

908-845-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [908-10-15](#).

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

908-845-25-1 When an airline exchanges take-off or landing slots with another airline, the slots acquired in the exchange are nonmonetary assets that shall be recorded in conformity with Topic [845](#). See also Subtopic [908-350](#).